

Indian Railway Finance Corporation Ltd

IRFC · Financials

ROE

13.0%

ROCE

5.7%

Net Profit Margin

24.1%

Debt-to-Equity

8.38

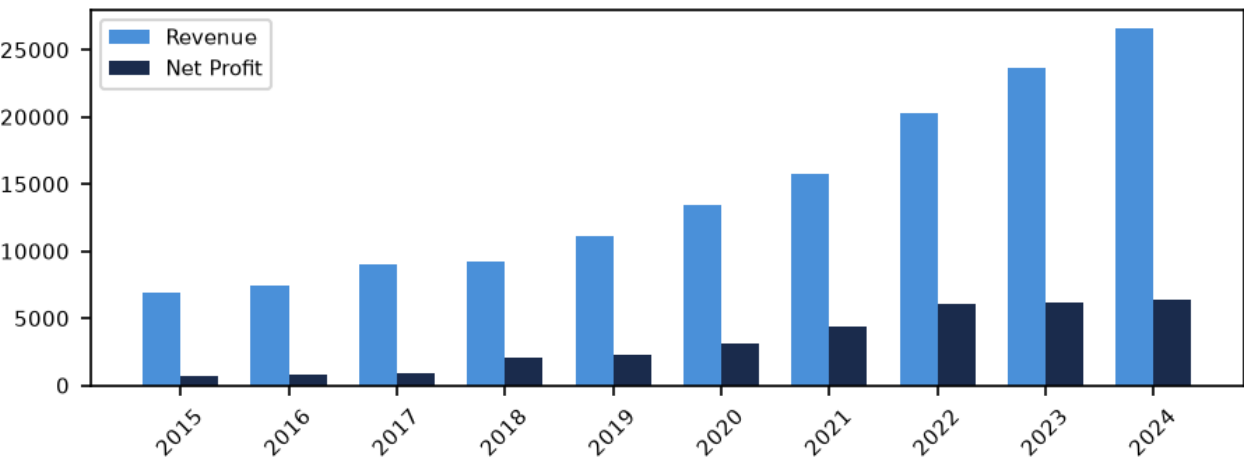
Revenue CAGR (5yr)

19.1%

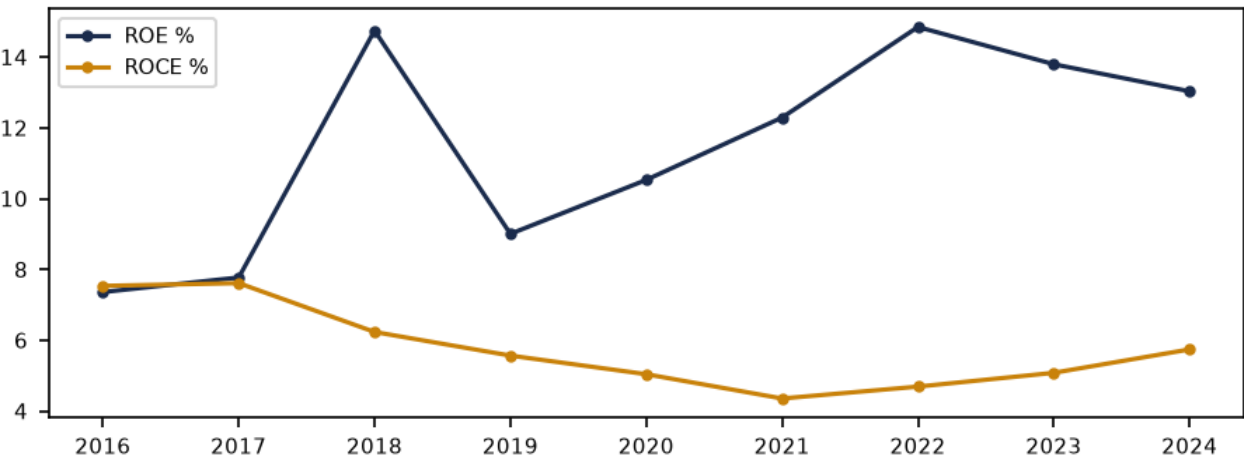
Free Cash Flow

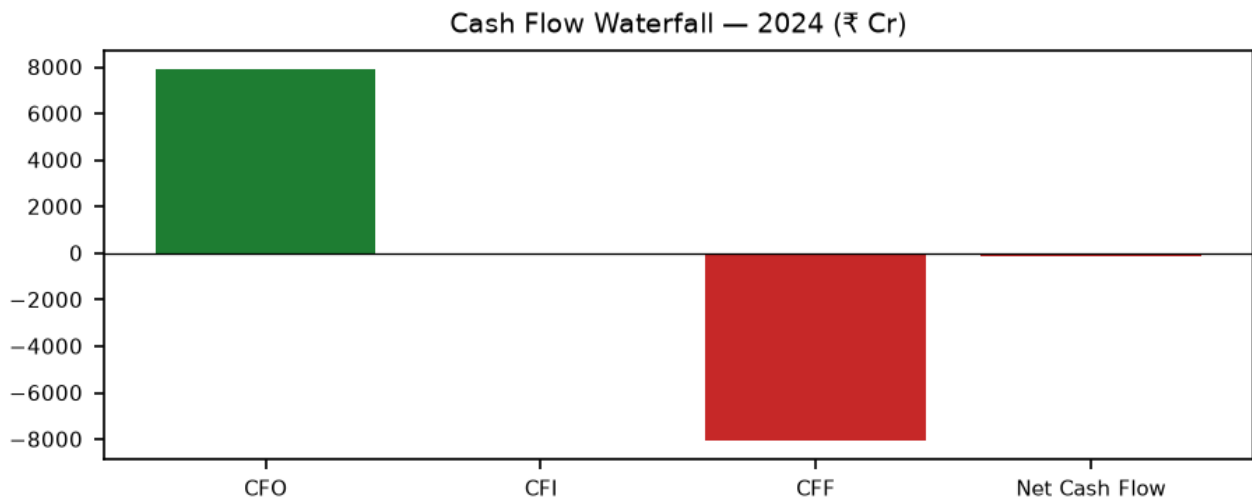
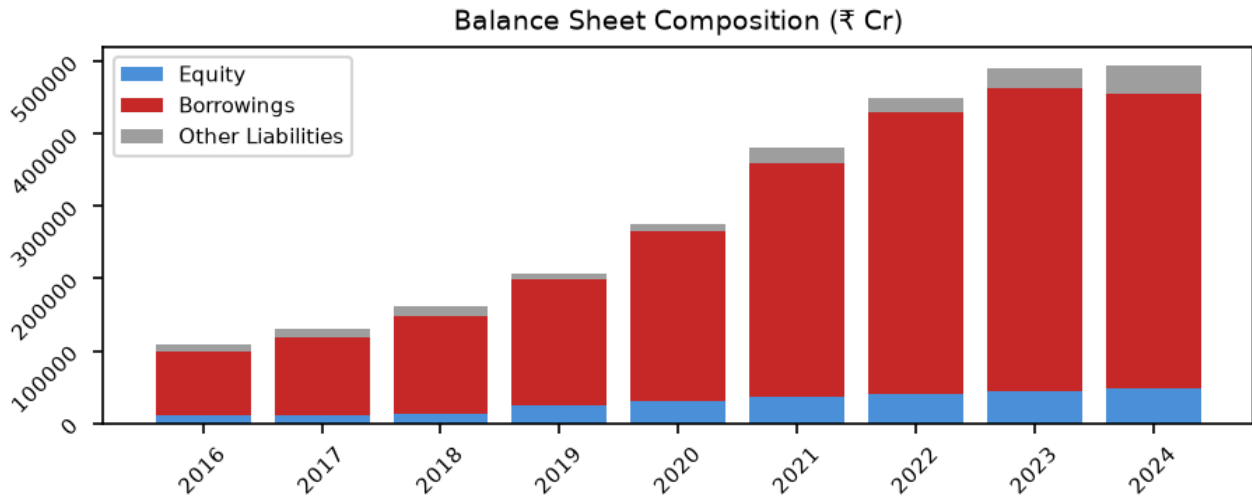
■ 7,906 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Growing asset base funded by internal accruals reflects self-sustaining growth
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation: Reinvestor